Sales Performance: What the Data Tells Us

Stakeholder summary | Sep 2013 - Dec 2014 | 700 orders, 5 segments, 5 countries

$118.7M	$16.9M	14.2%	1.13M	$9.2M	58
Net Sales	Profit	Profit Margin	Units Sold	Discounts Given	Loss-making Orders

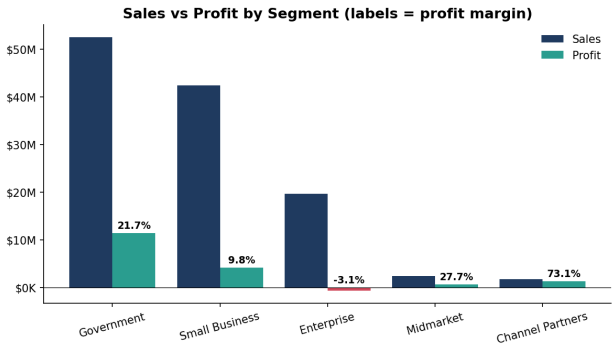
The message: We are growing fast, but we are giving away margin through discounts, and one segment (Enterprise) is losing money. Better discount discipline could add roughly **$1-2M of profit** without winning a single new customer.

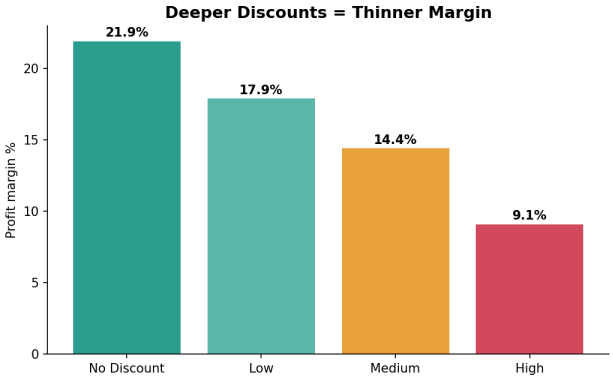
What we found

- **Growth is strong.** Sep-Dec sales rose +36.9% and profit +40.1% year over year.
- **Government carries us:** 67% of profit. Losing a few Government accounts would hurt far more than any other segment.
- **Enterprise loses money** (-$615K) because it is priced only 4% above cost, then discounted by about 7%.
- **Discounts hurt:** margin drops from 21.9% with no discount to 9.1% with a high discount, in every segment.
- **Small, profitable pockets exist:** Channel Partners (73% margin) and Midmarket (28%) are under-sold.
- **Sales peak in Q4** (Oct and Dec at about $12M).

What we recommend

- **1. Cap Enterprise discounts at about 2.5% or raise its price** → about +$1.0M profit.
- **2. Require approval for any discount above 10%** → up to +$2.2M (overlaps with #1).
- **3. Invest in Channel Partners and Midmarket**; protect Government accounts.
- **4. Pilot first:** test the pricing change in one country for a quarter, because volume may react.





Scenarios assume unchanged volume and are illustrative. Full method, SQL and code are in the project folder.